$2.33B EBITDA. Guidance Raised $500M. Stock Down 6%.

The market is conflating a ceasefire with a rebuild. They are not the same variable.



PRIMARY SOURCE ARBITRAGE
MAY 07, 2026

Cheniere beat on every metric that matters. The stock sold off on an Iran ceasefire headline, not on earnings. A truce reopens Hormuz. It does not rebuild Ras Laffan. That distinction is the thesis.

On April 15, I wrote that three items totaling $370–626M were absent from consensus EBITDA. The Q1 print confirmed all three.

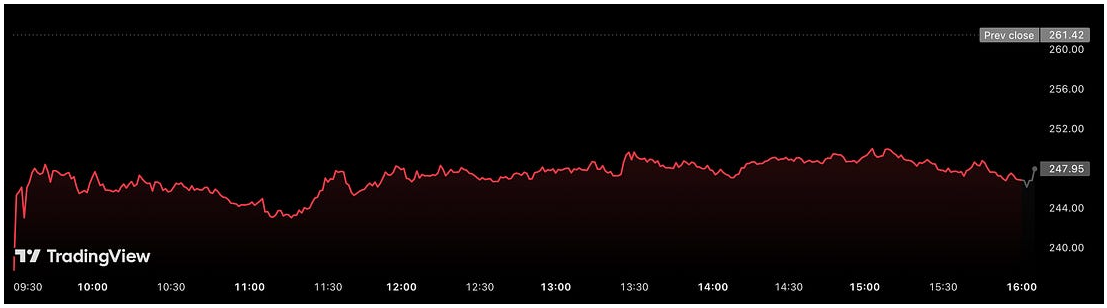


Cheniere Has a $6.6B Floor and a $255 Price Target

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All quotes in this post are from the Q1 2026 earnings call, May 7, 2026.

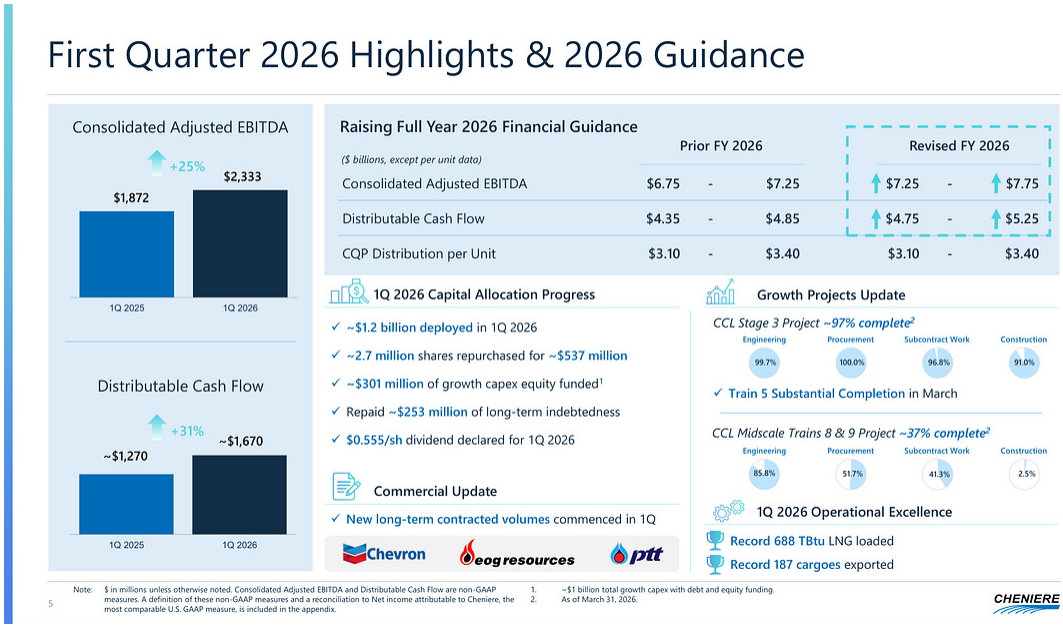


LNG 1D chart, NYSE. Intraday range $236.00–$250.11, close $246.78 on May 7, 2026. Source: TradingView.

The number

Consolidated Adjusted EBITDA: $2.33 billion. Up 25% YoY. Distributable Cash Flow: $1.67 billion, up 31%.

The GAAP headline read ($16.65) per share, driven by $5.4 billion of non-cash mark-to-market losses on long-term IPM agreements. Cheniere marks the gas purchase to market each quarter but does not mark the corresponding LNG sale until physical delivery. This is the same accounting mismatch that produced every prior “miss.” The business generated $1 billion of Adjusted Net Income.



First Quarter 2026 Highlights & full year guidance raise to $7.25–$7.75B consolidated adjusted EBITDA and $4.75–$5.25B distributable cash flow. Record 187 cargoes exported and 688 TBtu LNG loaded in Q1. Source: Cheniere Energy Q1 2026 Earnings Presentation, May 7, 2026.

The raise

Full-year EBITDA guidance moved from $6.75–7.25 billion to $7.25–7.75 billion.

Fusco: “The previous high end of the EBITDA guidance is a new low end.”

Davis on the bridge: production acceleration adds approximately $400 million at $9–10 margins. Higher margins on remaining open capacity adds $100 million. Optimization locked in year-to-date adds $100 million. Net: $500 million.

Davis: “This company doesn’t like to overpromise. We prefer to overperform.”

The guidance midpoint assumes zero additional optimization for the remaining three quarters of 2026.

Fusco: “If there was one thing conservative about the guidance, it’s that we don’t bake in any more of that in the current guidance of $7.5 billion of EBITDA.”

Operations

187 cargoes exported. Quarterly record. 688 TBtu loaded, up 13% YoY. Train 5 substantially complete in March. Train 6 first LNG expected within days. Trains 6 and 7 tracking weeks ahead of schedule.

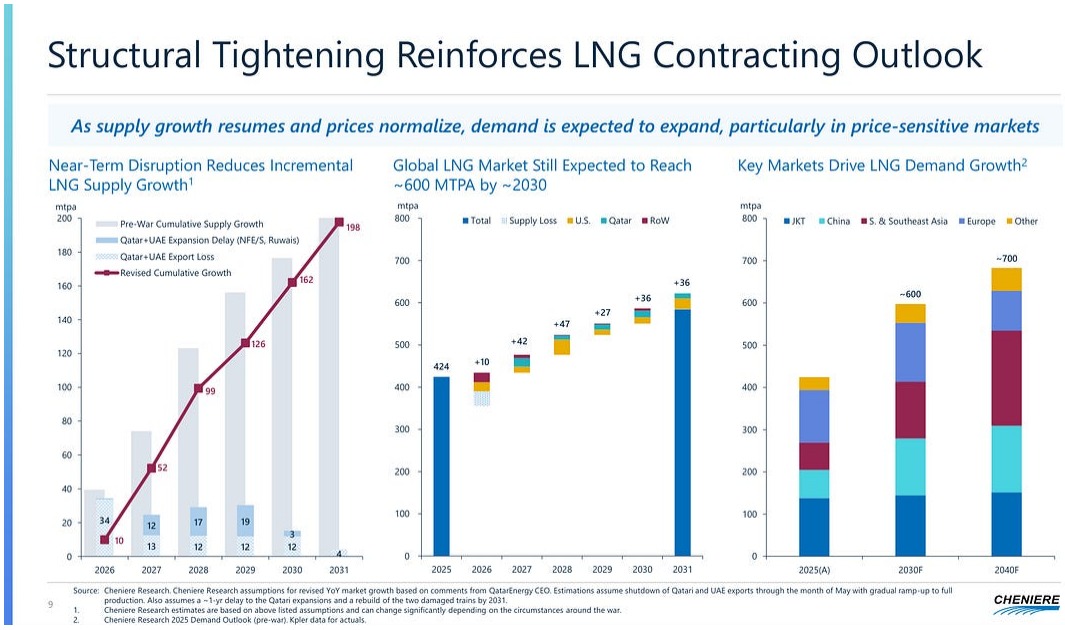
The structural confirmation

Feygin: “The industry has effectively lost 2 liquefaction trains in Qatar, representing approximately 12.8 million tonnes per annum of capacity, which could be offline for up to 5 years. We’re also likely to see delays

to major expansion projects in the region in both North Field in Qatar and Ruwais in the Emirates."

Feygin: "It still seems like the market thinks that this gets resolved in weeks, and we don't see normalization for months."

Feygin: "I, and I think I could say on behalf of the team, we are astounded that prices are where they are, that prices in Europe and Asia are backward-dated into the winter."



Near-term disruption reduces incremental LNG supply growth. Two Qatari liquefaction trains representing 12.8 MTPA offline for up to 5 years, with delays to North Field and Ruwais expansions compressing revised cumulative supply growth through 2030. Source: Cheniere Energy Q1 2026 Earnings Presentation, May 7, 2026.

Astounded. The CCO of the largest U.S. LNG exporter thinks the forward curve underprices the disruption. European storage exited winter at a 5-year low, a 13.2 Bcm deficit versus the 5-year average. Europe needs 10 million tonnes more LNG than last year to reach 80%

storage. That demand competes with Asia for the same marginal cargoes.

Fusco: “Prior to the war, the LNG market already demanded more production than the market could supply. The disruption of Middle Eastern volumes only exacerbates that supply shortage.”

The deficit existed before the war. The war made it worse. The market prices LNG as if neither condition is true.

2027 is already being locked in

Davis: “Since the last call, we’ve sold over 1 million tons of open capacity in ‘27. Margins were basically under $4 as of the call in February, and now they are closer to $6 to $7.”

One tonne of LNG is approximately 52 MMBtu. 1 million tonnes at $6–7 margins: $312–364M on the locked portion alone. The February baseline at sub-$4: below $208M. The delta on that 1 million tonnes already locked: $104–156M above what was available three months ago.

Street models flat EBITDA in 2027. The locked portion alone contradicts that. Open 2027 capacity beyond that 1 million tonnes has not been priced yet.

Capital allocation

2.7 million shares repurchased in Q1 for $537 million at a weighted average price of $202.58 per share. The stock closed at $246.78. $9.7 billion remaining under the authorization.

Davis: “We are budgeting for this decade to FID, not just Sabine set in early next year, but a first phase of Corpus as well by mid-to late next year as well.”

Two FIDs incoming. SPL expansion early 2027. CCL expansion mid-to-late 2027. FERC scheduling notice received for CCL last week.

The floor

$6.6 billion in fixed-fee contracted revenue over the next twelve months. The guidance raise sits entirely above this number, built from production volume, CMI margins, and locked optimization.

At 11× on the contracted floor alone, structural thesis failure, equity value is approximately $235. The stock is $246.78. Capital impairment requires every thesis item to fail simultaneously and still barely moves the needle.

What breaks the thesis

The thesis fails if contracted EBITDA falls below $5.5B for two consecutive quarters.

SPA payment default or force majeure by Shell, TotalEnergies, JERA, KOGAS, or EDF on any contract above 1 MTPA triggers immediate exit.

FERC permit denied on SPL expansion with no remediation path triggers immediate reassessment.

CCL expansion FERC approval delayed beyond H1 2027 extends the thesis. It does not end it.

The setup

$2.33B EBITDA, +25% YoY. Guidance raised $500M. Previous high end is the new low end. Record 187 cargoes. Train 6 first LNG in days. CCO says prices are structurally mispriced and the market expects weeks when it takes months. 1 million tonnes of 2027 capacity already locked at $6–7 versus sub-$4 in February. Two FIDs incoming. Stock down 6% on a truce headline.

A ceasefire reopens Hormuz. It does not rebuild Ras Laffan.

Street models built on the prior guidance ceiling are now below the new floor. Price target revisions are likely in the coming weeks.

Pushback welcome.

Disclosure: I hold a position in Cheniere Energy. This material is for informational purposes only and does not constitute investment advice. All figures sourced from: Cheniere Energy Q1 2026 press release and earnings call transcript, May 7, 2026 — Fusco, Feygin, Davis verbatim; Cheniere Energy FY2025 10-K; Q4 2025 earnings call, February 26, 2026. Cheniere Energy Q1 2026 Form 10-Q, March 31, 2026